



INTER-OFFICE COMMUNICATION

TO: Norma Nino-Quinn
Jen Nichols
Rae Kinsman
Leti Rodriguez

FROM: Penny Schumacher
Labor Relations

DATE: May 4, 2024

**SUBJECT: CURRENT CONTRACT NEGOTIATIONS CONTRACT RENEWAL
UFCW LOCAL 8
ESC CONTRACT IDS #415FR and #438FM VONS FRESNO**

This is to advise that the Employer offer for settlement of the above referenced contracts was ratified on May 4, 2024. Attached is the Contract Renewal outlining the major changes contained in these settlements.

This is also your authorization to implement the changes outlined in the attached Contract Renewal including ratification bonus.

If you have any questions, or need any further information concerning these settlements, please let us know.

Yours truly,

Penny Schumacher

cc: Karl Schroeder
Kevin Lovell
Randy Anderson
Jimmy Costillas
George Glukfeld
Kelli Elson
Stephan Randi, IE
Jeff Mason, HR
Dan Dosenbach
Brent Bohn
Frank Jorgensen
Jessica Taylor
Ethel Gonzalez
Matt Giuffra

CONTRACT RENEWAL

CONTRACT ID(S): 0415FR and 0438FM

CONTRACT NAMES #0415 Vons Fresno Retail Clerks 0008
 #0438 Vons Fresno Meat Cutters 0008

UNION LOCAL(S): UFCW Local 8

SAFEWAY NEGOTIATOR: Penny Schumacher and Dan Dosenbach

CONTRACT EFFECTIVE DATE: April 28, 2024

CONTRACT EXPIRATION DATE: April 12, 2027

CONTRACT RATIFICATION DATE: May 4, 2024

WAGE RATE CHANGES: Please see wage sheets for details.

Effective 5/5/24: In the amount of \$1.75 to thereafter and above (excluding Courtesy Clerks and Demonstrators and clean up). Head Meat Cutter additional \$0.50 for an increase of \$2.25 to provide \$2 differential from Journey cutter. Increase Meat Extra Cutter Rate from \$1.50 to be \$2 (over thereafter rate).

• **PROGRESSION CHANGES Effective 5/5/24:**

- **In MPC classification:** Change progression length by reducing the total hours within classification, adjusting steps with revised hours within step. Renumber steps.
- **In Meat Cutter classification:** Change progression length by reducing the total hours within classification, adjusting steps with revised hours within step. Renumber steps.

Effective 9/7/25: In the amount of \$1.50 to the thereafter and above (excluding Courtesy Clerks). In the amount of \$1.60 for thereafter Meat Cutter.

Effective 12/6/26: In the amount of \$1.00 to the thereafter and above (excluding Courtesy Clerks). In the amount of \$1.20 for thereafter Meat Cutter.

RETROACTIVE PAY: Yes

RATIFICATION BONUS: For Journeyperson and above a ratification bonus of \$1500 for full time and \$750 for part-time (excluding courtesy clerks). Payment will be made within 60 days of confirmation of ratification. To be eligible for payment employee must be active at time of ratification and remain active on date of payment. An employee on approved Leave of absence upon return will receive payment within 30 days

OTHER LUMP SUM BONUS PAYMENT(S): On each wage increase employees above scale will receive the lump bonus for the difference between their wage increase needed to bring to contract rate of pay and the value of the scheduled increase. Calculation will be based on their prior 52 weeks of earnings. Exception/overscale bonus to be determined and approved by labor relations.

GIFT CARD PAYMENT(S): None

HEALTH & WELFARE/DENTAL/VISION:

Employer H&W Contributions

Current Rates: \$6.95

Current Employer contributions for all employees except Meat Extras, Home Shopping Personal Shoppers and Fuel Station Employees: \$6.95 per hour

Current Employer contributions for Meat Extras: \$6.75 per hour;

Current Employer contributions for Home Shopping Personal Shoppers and Fuel Center Employees: No health and welfare contributions will be required on Home Shopping Personal Shoppers hired after February 11, 2005 or on Fuel Center Employees hired after December 27, 2007 for their first 12 months of employment. Thereafter, contributions will be made on these employees at the same rate applicable to all other employees (no change).

New/Future Rates:

Employer contributions for all employees except Meat Extras, Home Shopping Personal Shoppers and Fuel Station Employees:

- Current contribution: \$6.95 per hour

- Effective January 1, 2025 payment on December hours, increase contribution rate from \$6.95 to the rate of \$7.35, an increase of \$0.40 per hour.

Employer contributions for Meat Extras:

- Current contribution: \$6.75 per hour
- Effective January 1, 2025 payment on December hours an increase of \$0.40 per hour to a rate of \$7.15.

Employer contributions for Home Shopping Personal Shoppers and Fuel Center Employees:

- No health and welfare contributions will be required on Home Shopping Personal Shoppers hired after February 11, 2005 or on Fuel Center Employees hired after 12/27/07 for their first 12 months of employment. Thereafter, contributions will be made on these employees at the same rate applicable to all other employees.

Employee H&W Contributions

Current Rates: No changes

OTHER COMPANY BENEFITS – Safeway Benefits: N/A

PENSION:

Employer Pension Contributions

Current Rates: \$2.94 per hour includes Prior PPA contributions
\$0.85 per hour includes prior PPA contributions for the fuel and home shopper positions as outlined below.

Current Contribution: \$1.72 per hour (plus PPA contributions).

Fuel Station Employees: Fifty cents (\$.50) per straight-time hour for the first thirty-six (36) months of employment (plus PPA contributions). Thereafter: \$1.72 per hour (plus PPA contributions).

Home Shopping Dept. Employees: Fifty cents (\$.50) per straight-time hour for the first thirty-six (36) months of employment, or until the employee reaches the Thereafter rate of pay, whichever occurs first, Thereafter or upon 37 month: \$1.72 per hour (plus PPA contributions).

New/Future Rates: No PPA increases due

Defined Pension Contribution – IAP No Changes

PENSION PROTECTION ACT (PPA):

Employer Pension/PPA Contributions

Current Rates: \$1.72 rate with PPA current total contribution is \$2.94
\$0.50 rate with PPA current total contribution is \$0.850

New/Future Rates: No Changes

Note- \$.50 rate applies to the Fuel Station and Home Shopping Positions

WORKING HOURS AND OVERTIME PROVISIONS:

PREMIUM PAY:

New Classification: Assistant Meat Manager – Job Code 14063. Reference job code 11035. \$1.50/hour premium (earn codes 351/369. Reference earn code 042/242). Effective May 5, 2024.

Employees hired on or after May 5, 2024, will be entitled to \$1.00 Holiday Worked Premium (Earn codes 048/248).

HOLIDAYS:

Holiday Not Worked Pay: Change calculation method for employees who work within the week of the holiday who do not have any hours in the previous six weeks to:

For employees who have earned the holiday but have no hours in the 6 weeks preceding the holiday week, holiday pay will be calculated based on twenty percent (20%) of the employee's average hours worked per week in the 52 weeks immediately preceding the holiday.

Holiday Premium Pay: No change

VACATIONS: No Change

SICK PAY: No change

JURY DUTY: No change

FUNERAL LEAVE: No Change

OTHER LEAVES OF ABSENCE: No change

UNION DUES/POLITICAL ACTION COMMITTEE/OTHER DEDUCTIONS: No change

BOOT/TOOL ALLOWANCE: None

OTHER MAJOR CHANGES:

Effective 5/5/24 Meat contract 438: Adjust promotion process for those employees promoted after May 1, 2022 from Meat MPC to Meat Cutter to the following: At time of promotion from meat MPC to meat cutter the promoted employee will be placed into cutter progression at 3rd step with no backfilling of any previous steps. If the employee is currently at a rate of pay which is greater than 3rd step cutter, then employee will freeze at their current rate and be credited 1040 hours towards step 3 required 1560 hours. Upon completion of the remaining 520 hours in step 3, the employee will then move to step 4 and move through the remaining progression steps.